

California Insulated Muni Sleeve

Blended liquid-anchor / yield-core ladder · as of 2026-06-09 · analyst review, not investment advice

PAR / POSITIONS

\$1,000,000

25 bonds · after-tax-TEY optimized · 40% liquid anchor

YIELD TO WORST

4.27%

after-tax TEY 8.19% (CA top bkt)

AI-INSULATION

99

0–100; higher = safer in AI crash

OUR CREDIT

87

med spread 0.358pt · 2035–2045

Rating mix — AI-insulation: AI-1×23, AI-2×2. Liquidity: L1×4, L2×7, L3×5, L4×9. Our credit: Strong×19, Solid×5, Adequate×1.

Thesis

This sleeve holds California municipal bonds chosen for one property the market under-prices: **structural insulation of the credit from an AI/technology-sector crash**. California's General Fund leans on personal income tax, whose most volatile slice is capital-gains realizations from tech equity. A severe AI de-rating would collapse those realizations — the dot-com bust cut California capital-gains revenue ~71% and pressured state-General-Fund-backed credits an estimated 4–5 notches — yet bonds secured by a statutory property-tax lien (school GO) or essential-service utility revenue kept paying, untouched. We buy those insulated pledges and *exclude* the state-General-Fund channel. Yield is competitive not from credit or insulation risk but because these issues are small, obscure and lightly traded: **we are paid for illiquidity and obscurity inside verified-safe credits** — a very different risk than reaching down the quality curve.

How to read the three ratings

AI-insulation (AI-1 ... AI-5) — rates credit, not price

We decompose each security's revenue pledge into exposure to nine economic channels, weighted by how hard an AI crash hits each (capital-gains/income tax heaviest, then property assessed value, pensions, tech-employer concentration, hospital balance sheets, office CRE, housing, sales tax, transit). Weighted sum = exposure; **insulation = 100 – exposure**; binned to five tiers. It states which pledges keep paying when tech-driven state revenue collapses — not mark-to-market in a rate shock.

TIER	EXPOSURE	MEANING	TYPICAL SECURITY	DOT-COM (2001–03)
AI-1	≤5%	Insulated	Statutory-lien property-tax school GO; essential-service water/utility revenue	Untouched
AI-2	5–15%	Low	University general/limited-project revenue; insured enterprise revenue	Minor spread drift
AI-3	15–30%	Moderate	Tax-increment; tech-hub hospital; county GF appropriation	1–2 notch / widening
AI-4	30–60%	High	Local GF appropriation; weak tax increment	Multi-notch in deep shock
AI-5	>60%	Direct	State General Fund / income-tax-backed GO & appropriation	4–5 notches (CA AA→BBB '03)

Our credit (0–100) — and why it sits beside the agency rating

We score the **actual legal pledge**, read from the official statement / statute: statutory first-lien unlimited-ad-valorem school GO (~90, SB-222 puts bondholders ahead of other claims and the levy self-adjusts); UC Regents General Revenue Bonds (~82, broad University pledge but medical-center revenue excluded); UC Limited Project Revenue Bonds (~74, narrower specific-project revenues, no state appropriation); essential-service water/wastewater (~80, ~1.2× rate covenant). We down-rate lease/COP structures for appropriation + abatement risk and flag *Unverified* where the OS wasn't read — unverified is never treated as clean. **EMMA publishes no third-party rating for most of these issuers**, so our security read substitutes for the missing agency letter; the Agency column is a security-class benchmark for context, not an issue-specific rating.

Liquidity (L1 ... L4) — from the MSRB trade tape

Municipals have no consolidated quote, so we use realized trades: same-day round-trip spread, trade frequency, and two-sided trading days. **L1** ≤0.25pt/≥50yr/≥10 two-sided · **L2** ≤0.40/≥24/≥3 · **L3** ≤0.75/≥12/≥1 · **L4** thin. Every holding clears a floor (traded ≤90d, ≥12/yr, ≥1 two-sided); un-buildable names are excluded regardless of credit. For a hold-to-maturity ladder the spread is paid once and the bond redeems at par, so liquidity governs deployment pace and early-exit cost, not income.

Holdings (25)

CUSIP	SL	DISTRICT / ISSUER + PLEDGE	CPN	MATURITY	PX	YTW	TEY A-T	LIQUIDITY	AI-INSULATION	OUR CREDIT + AB1200²	EQ SS³	FIRE⁴	AGENCY (CLASS)¹	PAR
-------	----	----------------------------	-----	----------	----	-----	---------	-----------	---------------	----------------------	--------	-------	-----------------	-----

91412G2F1	A	— UC specific project revenues; no state approp.	5%	2035-05	101.7	3.14	6.32	L1 Highly liquid	AI-2 Low (93)	74 Adequate —	—	—	~Aa3 / AA-	40,000
926055KH6	A	Victor Valley Union High School District (San Bernardino) Unlimited ad-valorem tax + SB-222 statutory first lien	4%	2037-08	100.0	4.00	8.04	L1 Highly liquid	AI-1 Insulated (99)	90 Strong AB1200 clear	1.42	8%	~Aa2-Aa3 / AA- to AA	40,000
587619BF3	B	— Essential-service net revenue + ~1.2x covenant	4%	2038-10	99.9	4.01	8.06	L3 Moderate	AI-1 Insulated (100)	80 Solid —	—	—	~A1-Aa3 / A+ to AA-	40,000
91412HJC8	A	— UC broad General Revenues; med-center excluded	4%	2039-05	100.5	3.90	7.83	L2 Liquid	AI-2 Low (87)	82 Solid —	—	—	Aa2 / AA+	40,000
050002AW4	B	— Essential-service net revenue + ~1.2x covenant	5%	2040-05	100.9	3.97	7.98	L2 Liquid	AI-1 Insulated (100)	80 Solid —	—	—	~A1-Aa3 / A+ to AA-	40,000
95236EAT2	A	— Essential-service net revenue + ~1.2x covenant	4%	2041-06	99.2	4.07	8.19	L3 Moderate	AI-1 Insulated (100)	80 Solid —	—	—	~A1-Aa3 / A+ to AA-	40,000
032591TU3	B	Anaheim Union High (Orange) Unlimited ad-valorem tax + SB-222 statutory first lien	3%	2041-08	83.6	4.50	8.13	L4 Thin	AI-1 Insulated (99)	90 Strong AB1200 clear	1.71	0%	~Aa2-Aa3 / AA- to AA	40,000
358233ED2	B	Fresno Unified (Fresno) Unlimited ad-valorem tax + SB-222 statutory first lien	3%	2041-08	84.0	4.47	8.08	L3 Moderate	AI-1 Insulated (99)	90 Strong AB1200 clear	0.72	0%	~Aa2-Aa3 / AA- to AA	40,000
95330PHH1	A	W Hills Cmnty Clg-B Unlimited ad-valorem tax + SB-222 statutory first lien	4%	2041-08	98.9	4.09	8.23	L2 Liquid	AI-1 Insulated (99)	90 Strong CC: n/a	—	—	~Aa2-Aa3 / AA- to AA	40,000
17132CDL9	B	Chula Vista Elementary (San Diego) Unlimited ad-valorem tax + SB-222 statutory first lien	4%	2041-08	99.6	4.03	8.11	L4 Thin	AI-1 Insulated (99)	90 Strong AB1200 clear	1.11	24%	~Aa2-Aa3 / AA- to AA	40,000
270198BY9	B	Earlimart Elementary (Tulare) Unlimited ad-valorem tax + SB-222 statutory first lien	4%	2041-08	100.0	4.00	8.04	L4 Thin	AI-1 Insulated (99)	90 Strong AB1200 clear	0.80	0%	~Aa2-Aa3 / AA- to AA	40,000
777387AH4	B	Roseland Elementary School District (Sonoma) Unlimited ad-valorem tax + SB-222 statutory first lien	4%	2042-08	97.8	4.19	8.41	L4 Thin	AI-1 Insulated (99)	90 Strong AB1200 clear	2.22	—	~Aa2-Aa3 / AA- to AA	40,000
817409H32	B	Sequoia Union High (San Mateo) Unlimited ad-valorem tax + SB-222 statutory first lien	3%	2043-07	83.0	4.43	8.08	L1 Highly liquid	AI-1 Insulated (99)	90 Strong AB1200 clear	2.14	10%	~Aa2-Aa3 / AA- to AA	40,000
900211CP6	B	Turlock Unified School District (Stanislaus) Unlimited ad-valorem tax + SB-222 statutory first lien	3%	2043-08	79.2	4.79	8.61	L2 Liquid	AI-1 Insulated (99)	90 Strong AB1200 clear	0.76	4%	~Aa2-Aa3 / AA- to AA	40,000
607735CA3	B	Modesto City Elementary School District (Stanislaus) Unlimited ad-valorem tax + SB-222 statutory first lien	3%	2043-08	81.4	4.57	8.30	L4 Thin	AI-1 Insulated (99)	90 Strong AB1200 clear	0.83	0%	~Aa2-Aa3 / AA- to AA	40,000
870462TJ7	B	Sweetwater Union High (San Diego) Unlimited ad-valorem tax + SB-222 statutory first lien	4%	2043-08	98.6	4.12	8.27	L2 Liquid	AI-1 Insulated (99)	90 Strong AB1200 clear	1.24	19%	~Aa2-Aa3 / AA- to AA	40,000
13049WAX3	B	— Essential-service net revenue + ~1.2x covenant	4%	2044-06	98.8	4.10	8.24	L4 Thin	AI-1 Insulated (100)	80 Solid —	—	—	~A1-Aa3 / A+ to AA-	40,000
547541LJ9	B	Lowell Joint (Orange) Unlimited ad-valorem tax + SB-222 statutory first lien	3%	2044-08	78.1	4.82	8.70	L3 Moderate	AI-1 Insulated (99)	90 Strong AB1200 clear	1.99	15%	~Aa2-Aa3 / AA- to AA	40,000
168520PA6	B	Chico Unified (Butte) Unlimited ad-valorem tax + SB-222 statutory first lien	3%	2044-08	79.0	4.73	8.56	L4 Thin	AI-1 Insulated (99)	90 Strong AB1200 clear	0.93	29%	~Aa2-Aa3 / AA- to AA	40,000
171314LB1	B	Chula Vista Elementary (San Diego) Unlimited ad-valorem tax + SB-222 statutory first lien	4%	2044-08	100.1	3.99	8.02	L2 Liquid	AI-1 Insulated (99)	90 Strong AB1200 clear	1.11	24%	~Aa2-Aa3 / AA- to AA	40,000
012104QQ1	B	Albany City Unified (Alameda) Unlimited ad-valorem tax + SB-222 statutory first lien	3%	2045-08	77.2	4.84	8.76	L3 Moderate	AI-1 Insulated (99)	90 Strong AB1200 clear	2.40	0%	~Aa2-Aa3 / AA- to AA	40,000
291119KP9	B	Emery Unified (Alameda) Unlimited ad-valorem tax + SB-222 statutory first lien	3%	2045-08	77.9	4.77	8.66	L2 Liquid	AI-1 Insulated (99)	90 Strong AB1200 clear	2.06	0%	~Aa2-Aa3 / AA- to AA	40,000
223093TK1	B	Covina-Valley Unified (Los Angeles) Unlimited ad-valorem tax + SB-222 statutory first lien	3%	2045-08	78.7	4.69	8.54	L4 Thin	AI-1 Insulated (99)	90 Strong AB1200 clear	1.87	0%	~Aa2-Aa3 / AA- to AA	40,000
079113DY9	B	Bellevue Union (Sonoma) Unlimited ad-valorem tax + SB-222 statutory first lien	3%	2045-08	80.7	4.51	8.27	L4 Thin	AI-1 Insulated (99)	90 Strong AB1200 clear	2.04	12%	~Aa2-Aa3 / AA- to AA	40,000
796472AS7	B	San Benito High (San Benito) Unlimited ad-valorem tax + SB-222 statutory first lien	4%	2045-08	98.8	4.09	8.23	L1 Highly liquid	AI-1 Insulated (99)	90 Strong AB1200 clear	2.62	49%	~Aa2-Aa3 / AA- to AA	40,000

- **Phase 1 — now (~\$400,000, 40%):** liquid anchor + already-active core names, buildable on demand at tight spreads. Invested at the full after-tax TEY from day one.
- **Phase 2 — over weeks (~\$600,000, 15 names):** thinner core names worked opportunistically on offerings/bids-wanted, funded by trimming the anchor as they fill. Worst case you hold the anchor longer — it still out-yields cash — so you're never waiting to be invested.

The price of patience — Phase 2 illiquidity, quantified

Measured from each bond's own regulatory trade tape (not modeled): the 15 patient names (\$600,000) yield **8.28%** after-tax vs **8.05%** for the liquid anchor — an illiquidity premium of **~22 bps/yr ($\approx$ \$1,334/yr)**. Against that: entry costs a mean half-spread of 0.52pt — **~\$3,096 one-time (0.52%), $\approx$ 3 bps/yr amortized** to maturity, a roughly 7:1 earn-to-cost ratio for a hold-to-maturity buyer. The asymmetry: a **forced** exit costs ~1.0% normally and **~2.5% ($\approx$ \$14,782) under stress** — about one year's premium — so the bargain holds only if early liquidation stays improbable. Build window ~4–8 weeks working all names in parallel; 12/15 names have printed $\geq$ \$40k blocks. Per-name spreads on thin names are few-observation medians — real error bars; first fills will calibrate them.

Caveats

Selection metric is after-tax TEY (de-minimis aware) — gross YTW selection mechanically over-buys tax-dragged discounts. TEY grossed up at CA top combined bracket ($\times 2.01$); 11 discount bonds breach de-minimis (accretion taxed as ordinary income) — the after-tax TEY shown already reflects that drag. Marks are EMMA last-trade prices (munis trade by appointment; a print may be days old). ¹ **Agency (class)** is a security-class benchmark, not an issue-specific rating — EMMA carries no third-party rating for most of these issuers. ² **AB1200** = CDE interim certification (the official CA school fiscal-distress flag): "clear" = district certified it will meet obligations and is absent from the QUALIFIED/NEGATIVE lists (FY24-25 interims); community-college districts are not CDE-covered (CCCCO monitors) and are marked n/a, not clean. An adverse certification reflects operating-fund stress; the GO levy is separate, county-collected, with the SB-222 statutory lien — state takeovers (Inglewood 2012, Oakland 2003) did not interrupt GO debt service. ³ **EQ SS** = USGS ASCE7-22 short-period spectral acceleration at the district office — a seismic-hazard overlay used for single-event concentration management, not a per-bond credit deduction. ⁴ **Fire** = share of the district's building value in FEMA National Risk Index Relatively-High / Very-High wildfire tracts (district $\leftrightarrow$ tract join via NCES boundaries). Districts above 30% are flagged red and capped at 15% of names in construction — the channel is insurer withdrawal dragging the assessed-value base, not the burn itself (no CA school GO defaulted through Loma Prieta, Northridge, or the Camp Fire). AI-insulation rates credit, not price. Not investment advice; for analyst review.